The Shah and the West

The USA was now the strongest Western power in the Middle East region. The US government persuaded the Anglo-Iranian Oil Company (now BP) to join a group of American, French and Dutch oil companies in return for a 40 per cent share in the oil profits of Iran. This group then reached agreement with the new National Iranian Oil Company to start production again.

The Shah's new government signed a treaty with the USA in 1955 and, a year later, joined Britain, Turkey and Iraq in the so-called Baghdad Pact (see page 67). For the West, the Shah was a useful ally in the Middle East: he was reliably anti-Soviet and he was the guardian of the West's oil supplies. He was a reformer too, and many Iranians benefited from his policies: he transferred some of Iran's land from the biggest landowners to poorer farmers; he also gave women the vote, increased the number of schools and raised literacy rates. The country grew rich on the income from the oil industry which the National Iranian Oil Company now controlled.

Opposition to the Shah

Key question
Why was there so much opposition to the Shah?

But the huge new wealth was only enjoyed by a minority: there was still a huge gap between the rich élite and the poor masses. Dependence on the non-Muslim West caused anger: street demonstrations often targeted banks, because of their close ties to Western companies, and cinemas which showed mostly foreign, often sexy, films. These were felt to be un-Islamic. In 1971, the Shah held a huge celebration of what he claimed was the 2500th anniversary of the Persian monarchy. Not only did few believe the claim but, at a cost of $330 million, it was seen as far too extravagant, especially in a country where millions struggled to feed themselves.

Also, there was much resentment of Iran's close alliance with the West through its membership of the Baghdad Pact. Many saw the Shah as a pawn of the USA. In the late 1970s, the increasing opposition to his regime was led by the Muslim religious leaders, the **mullahs**. In the mosques, especially at the Friday prayers, the mullahs criticised the wealth, luxury and corruption of the Shah and his supporters. They feared and hated his secret police who arrested, imprisoned and tortured thousands of the government's critics, including mullahs. They also attacked the pro-Western, pro-Israeli foreign policy of the government.

Key terms

Mullah
The title given to some Muslim clergy.

Ayatollah
Among Shia Muslims, the Ayatollahs are the most senior scholars, experts in interpreting the Koran.

The Islamic Revolution 1979

Key question
Why was the Iranian Revolution successful?

The outstanding leader of the opposition was **Ayatollah** Khomeini. Like many other Muslim religious leaders, he had been forced into exile by the Shah's government. At first, in 1964, he went to Turkey, later Iraq and, finally, France. From here, his writings and speeches were smuggled into Iran. In 1978, there were huge strikes and demonstrations calling on the Shah to abdicate. Every time the Shah's army and police killed people in these protests, there followed even bigger demonstrations, often a million-strong in the capital, Tehran. In September 1978, the

Key date

Iranian Revolution led by Ayatollah Khomeini: 1979